

HIGHLAND COMPUTER FORMS INC.

FINANCIAL STATEMENT

FOR THE MONTH ENDED

JUNE 30, 2024

CONTENTS OF FINANCIAL STATEMENTS

NOTES
ASSETS
LIABILITIES
EBITDA
CONSOLIDATED INCOME STATEMENT
CONSOLIDATED COST OF GOODS MANUFACTURED
CONSOLIDATED GENERAL AND ADMINISTRATIVE
CASH FLOW
YEAR TO DATE INCOME STATEMENT
YEAR TO DATE COST OF GOODS MANUFACTURED
YEAR TO DATE GENERAL AND ADMINISTRATIVE
ERROR REPORT ANALYSIS
SUMMARY MONTHLY ERROR REPORT BY EMPLOYEE
SUMMARY MONTHLY ERROR REPORT BY DEPARTMENT
SUMMARY YTD REPORT BY EMPLOYEE
SUMMARY YTD ERROR REPORT BY DEPARTMENT
HILLSBORO COST OF GOODS MANUFACTURED
ANGOLA COST OF GOODS MANUFACTURED
HILLSBORO #2 COST OF GOODS MANUFACTURED
PAPER USAGE REPORT
RATIO ANALYSIS

ACCOUNTANT'S NOTES ON FINANCIAL STATEMENTS DATED
JUNE 30, 2024

1. ERRORS RECORDED IN APRIL WERE \$9,641 FOR A YTD TOTAL OF \$49,301. BASED ON THE YTD MANUFACTURING INCOME PERCENTAGE OF (.034912%) WE NEED \$1,412,152 ADDITIONAL SALES TO COVER THE LOSS.
2. REMOVED \$8,378 OF FINISHED GOODS INVENTORY FROM ANGOLA THAT WAS SLOW MOVING AND OLD INVENTORY.

BALANCE SHEET -CONSOLIDATED

JUNE 30, 2024

ASSETS

CURRENT ASSETS

CASH IN THE BANK	641,003	
ACCOUNTS RECEIVABLE - OTHER	6,459	
ACCOUNTS RECEIVABLE	739,879	
PREPAID EXPENSE	17,236	
INVENTORY	909,413	
TOTAL CURRENT ASSETS		2,313,993

FIXED ASSETS

MACHINERY & EQUIPMENT	6,713,457	
VEHICLES	149,312	
DATA PROCESSING EQUIPMENT	199,516	
FURNITURE & FIXTURES	42,406	
BUILDING AND LAND	600,000	
GOODWILL	10,000	
LEASEHOLD IMPROVEMENTS	1,056,776	
TOTAL FIXED ASSETS		8,771,468
ACCUMULATED DEPRECIATION		7,007,577
NET FIXED ASSETS		1,763,891

OTHER ASSETS

DEPOSITS	1,772	
TOTAL OTHER ASSETS		1,772
TOTAL ASSETS		4,079,657

BALANCE SHEET - CONSOLIDATED

JUNE 30, 2024

LIABILITIES & STOCKHOLDER'S EQUITY

CURRENT LIABILITIES

ACCOUNTS PAYABLE	230,561
ACCRUED PAYROLL TAXES	(1,418)
ACCRUED EXPENSES	332,945
NOTE PAYABLE W & J	193,786
NOTE PAYABLE FIRST STATE BANK	19,244
CAPITAL LEASES	0

TOTAL CURRENT LIABILITIES **775,118**

OTHER LIABILITIES

FSB REVOLVING LOAN	0	
TOTAL OTHER LIABILITIES		0

LONG TERM LIABILITIES

CAPITAL LEASES	0	
NOTE PAYABLE FIRST STATE BANK	405,376	
TOTAL LONG TERM LIABILITIES		405,376

TOTAL LIABILITIES **1,180,494**

STOCKHOLDER'S EQUITY

COMMON STOCK	1,000	
RETAINED EARNINGS	2,744,936	
DISTRIBUTIONS TO SHAREHOLDER	(33,135)	
PAID IN CAPITAL	249,000	
CURRENT EARNINGS	(62,638)	
TOTAL SHAREHOLDER'S EQUITY		2,899,163

TOTAL LIABILITIES & EQUITY **4,079,657**

INCOME STATEMENT
JUNE 30, 2024

	CURRENT PERIOD	YEAR TO DATE
NET REVENUES	\$ 673,788	\$ 4,464,702
COST AND EXPENSES EXCLUDING DEPRECIATION & AMORTIZATION	<u>743,573</u>	<u>4,401,938</u>
EBITDA	<u>(69,785)</u>	<u>62,764</u>
INTEREST	1,598	9,684
TAXES (INCOME)	0	0
DEPRECIATION & AMORTIZATION	19,259	115,718
NET INCOME	\$ <u>(90,642)</u>	\$ <u>(62,638)</u>

INCOME STATEMENT
JUNE 30, 2024

	CURRENT PERIOD	YEAR TO DATE
SALES	683,630	4,540,363
LESS : SALES DISCOUNT	9,841	75,661
NET SALES	673,788	4,464,702
 COST OF GOODS SOLD		
BEGINNING INVENTORY	203,259	313,473
COST OF GOODS MFG	621,024	3,867,551
OUTSIDE PURCHASES		0
ENVELOPES	4,214	18,433
COPY PAPER	0	2,773
TOTAL AVAILABLE FOR SALE	828,498	4,202,231
 LESS ENDING INVENTORY	199,589	199,589
TOTAL COST OF GOODS SOLD	628,908	4,002,641
 FREIGHT INCOME	47,658	340,134
FREIGHT EXPENSE	37,140	279,350
INTERCOMPANY FREIGHT	698	4,256
UNRECONCILED FREIGHT	868	3,519
TOTAL FREIGHT INCOME (EXPENSE)	8,950	53,008
 GENERAL & ADMINISTRATIVE	156,463	673,582
INCOME FROM OPERATIONS	(102,632)	(158,513)
 OTHER INCOME		
SALE OF SCRAP	7,823	51,113
MISC. INCOME	2,064	21,344
EXTINGUISHMENT OF DEBT	0	0
RECOVERY ON BAD DEBT	0	0
GAIN ON SALE OF ASSETS	0	2,666
PURCHASE DISCOUNTS	3,700	30,420
TOTAL OTHER INCOME	13,588	105,544
 OTHER EXPENSES		
MISC. EXPENSE	0	(15)
INTEREST EXPENSE	1,598	9,684
TOTAL OTHER EXPENSES	1,598	9,669
 TOTAL NET INCOME (LOSS)	(90,642)	(62,638)

COST OF GOODS MANUFACTURED
JUNE 30, 2024

	CURRENT PERIOD		YEAR TO DATE	
DIRECT MATERIALS				
PAPER	291,488	42.3%	1,808,752	41.0%
CARBON	2,453	0.4%	4,565	0.1%
CARTONS	16,006	2.3%	91,936	2.1%
INK	9,886	1.4%	34,202	0.8%
MATERIALS & SUPPLIES	18,171	2.6%	106,042	2.4%
LABEL MATERIALS	9,270	1.3%	60,581	1.4%
INTEGRATED MATERIALS	8,439	1.2%	29,964	0.7%
PLATES & NEGATIVES	9,112	1.3%	68,559	1.6%
TOTAL DIRECT MATERIALS	364,827	53.0%	2,204,605	50.0%
LABOR				
DIRECT LABOR WAGES	87,981	12.8%	583,091	13.2%
INDIRECT LABOR WAGES	47,406	6.9%	317,594	7.2%
SUPERVISOR'S SALARIES	7,498	1.1%	42,516	1.0%
TOTAL LABOR	142,885	20.8%	943,203	21.4%
FACTORY OVERHEAD				
DEPRECIATION EQUIPMENT	13,759	2.0%	82,724	1.9%
DEPRECIATION TRUCKS	365	0.1%	2,192	0.0%
CARETAKING PRODUCTION	2,278	0.3%	16,563	0.4%
INSURANCE-HEALTH	22,025	3.2%	152,082	3.5%
TAXES-PAYROLL	14,247	2.1%	101,738	2.3%
401K MATCH	3,853	0.6%	25,240	0.6%
INSURANCE-GENERAL	3,880	0.6%	23,280	0.5%
TAXES-GENERAL	3,822	0.6%	23,864	0.5%
TRAINING & EDUCATION	0	0.0%	85	0.0%
RENT	10,500	1.5%	63,000	1.4%
REPAIRS & MAINTENANCE	12,121	1.8%	77,804	1.8%
TRUCK EXPENSES	345	0.1%	2,051	0.0%
UTILITIES	22,666	3.3%	108,798	2.5%
FREIGHT IN PRICE EXPENSES	3,444	0.5%	40,318	0.9%
TOTAL FACTORY OVERHEAD	113,310	16.5%	719,743	16.3%
TOTAL MANUFACTURING COST INCURRED	621,024	90.2%	3,867,551	87.8%
PRODUCTION	688,374	100.0%	4,406,835	100.0%
GROSS MARGIN	67,350	9.8%	539,284	12.2%

GENERAL AND ADMINISTRATIVE EXPENSES
JUNE 30, 2024

	CURRENT PERIOD		YEAR TO DATE	
ADVERTISING	174	0.1%	8,845	1.3%
BAD DEBTS	0	0.0%	1,493	0.2%
BANK CHARGES	1,818	1.2%	15,941	2.4%
PAYROLL CHARGES	958	0.6%	6,872	1.0%
RENT-ADMINISTRATIVE	3,065	2.0%	18,713	2.8%
CARETAKING SUPPLIES	2,712	1.7%	8,927	1.3%
COLLECTION	0	0.0%	0	0.0%
DEPRECIATION COMPUTER	479	0.3%	2,878	0.4%
DEPRECIATION FURN & FIX	0	0.0%	0	0.0%
DEPRECIATION LEASEHOLD	3,612	2.3%	21,672	3.2%
DEPRECIATION BUILDING	1,041	0.7%	6,249	0.9%
DUES & SUBSCRIPTIONS	0	0.0%	99	0.0%
DONATIONS	0	0.0%	750	0.1%
401K MATCH	1,637	1.0%	11,290	1.7%
INSURANCE-HEALTH	3,895	2.5%	23,659	3.5%
INSURANCE-KEYMAN	1,327	0.8%	7,965	1.2%
LEGAL & PROFESSIONAL	6,718	4.3%	67,530	10.0%
OFFICE SUPPLIES	441	0.3%	11,638	1.7%
POSTAGE	0	0.0%	2,187	0.3%
REPAIRS & MAINTENANCE	3,455	2.2%	17,626	2.6%
SELLING EXPENSE	0	0.0%	1,734	0.3%
EMPLOYEE BONUS	73,000	46.7%	73,000	10.8%
EMPLOYEE RELATIONS	210	0.1%	6,231	0.9%
SALARIES - ADMIN.	9,842	6.3%	63,975	9.5%
SALARIES -SALES SERVICE	25,311	16.2%	167,528	24.9%
SALARIES -OUTSIDE SALES	9,594	6.1%	74,441	11.1%
TAXES - PAYROLL	3,057	2.0%	22,732	3.4%
TELEPHONE	729	0.5%	5,039	0.7%
INTERNET	2,375	1.5%	10,419	1.5%
TRAINING & EDUCATION	0	0.0%	1,070	0.2%
TRAVEL	827	0.5%	8,555	1.3%
MEALS & ENTERTAINMENT	178	0.1%	4,508	0.7%
TOTAL GENERAL & ADMINISTRATIVE	156,463	100.0%	673,582	100.0%

STATEMENT OF CASH FLOWS
JUNE 30, 2024

	CURRENT PERIOD	YEAR TO DATE
CASH FLOW FORM OPERATING ACTIVITIES:		
NET INCOME (LOSS)	(90,642)	(62,638)
ADJUSTMENTS TO RECONCILE NET INCOME TO		
NET CASH PROVIDED BY OPERATING ACTIVITIES:		
DEPRECIATION AND AMORTIZATION	19,259	115,718
INCREASE (DECREASE) IN RESERVE FOR BAD DEBT	0	0
CHANGES IN ASSETS AND LIABILITIES:		
(INCREASE) DECREASE IN AR	(50,696)	169,556
(INCREASE) DECREASE IN INVENTORY	19,811	142,013
(INCREASE) DECREASE IN PREPAID EXPENSE	7,580	(5,393)
(INCREASE) DECREASE IN DEPOSITS	0	8,236
INCREASE (DECREASE) IN AP	(22,509)	(132,834)
INCREASE (DECREASE) IN ACCRUED EXPENSES	68,505	(7,420)
NET CASH PROVIDED BY OPERATING ACTIVITIES:	<u>(48,692)</u>	<u>227,238</u>
CASH FLOWS FROM INVESTING ACTIVITES:		
PURCHASE OF MACHINERY	(5,814)	(5,814)
LEASEHOLD IMPROVEMENTS	0	(28,810)
TRUCK IMPROVEMENTS	0	0
PURCHASE OF COMPUTERS	0	(31,952)
PURCHASE OF FURNITURE & FIXTURES	0	0
PROCEEDS FROM SALE OF PROPERTY OR EQUIPMENT	0	4,834
INVESTMENT IN LIFE INSURANCE CASH VALUES	0	0
NET CASH USED BY INVESTING ACTIVITES:	<u>(5,814)</u>	<u>(61,742)</u>
CASH FLOWS FROM FINANCING ACTIVITIES:		
NET OF (REPAYMENT) OR BORROWING OF FSB LOC	0	0
REPAYMENT OF FIRST STATE BANK LOAN	(1,565)	(9,303)
REPAYMENT OF W&J LOAN	0	0
REPAYMENT OF CAPITAL LEASES	0	(1,500)
DISTRIBUTIONS TO SHAREHOLDERS	0	(33,135)
NET CASH USED IN FINANCING ACTIVITES:	<u>(1,565)</u>	<u>(43,938)</u>
NET (DECREASE) INCREASE IN CASH AND EQUIVALENTS	<u>(56,071)</u>	<u>121,558</u>
CASH AND EQUIVALENTS - BEGINNING OF PERIOD	697,074	519,445
CASH AND EQUIVALENTS – JUNE 30, 2024	<u>641,003</u>	<u>641,003</u>

INCOME STATEMENT

	JAN	FEB	MARCH	APRIL	MAY	JUNE	TOTAL
SALES	910,035	808,239	749,756	670,368	718,333	683,630	4,540,363
LESS : SALES DISCOUNT	12,470	13,343	8,561	15,131	16,311	9,841	75,661
NET SALES	897,565	794,895	741,194	655,236	702,022	673,788	4,464,702
COST OF GOODS SOLD							
BEGINNING INVENTORY	313,473	289,437	283,916	275,779	248,604	203,259	313,473
COST OF GOODS MFG	757,137	676,325	647,489	587,717	577,857	621,024	3,867,551
ENVELOPES	2,834	3,171	3,177	1,327	3,707	4,214	18,433
COPY PAPER					2,773		2,773
TOTAL AVAILABLE FOR SALE	1,073,444	968,934	934,582	864,823	832,941	828,498	4,202,231
LESS ENDING INVENTORY	289,437	283,916	275,779	248,604	203,259	199,589	199,589
TOTAL COST OF GOODS SOLD	784,007	685,018	658,803	616,219	629,684	628,908	4,002,641
FREIGHT INCOME	58,883	59,615	67,423	51,007	55,547	47,658	340,134
FREIGHT EXPENSE	51,132	46,003	54,561	46,226	44,286	37,140	279,350
INTERCOMPANY FREIGHT	588	865	752	629	722	698	4,256
UNRECONCILED FREIGHT	1,010	873	193	152	420	868	3,519
TOTAL FREIGHT INCOME (EXPENSE)	6,153	11,872	11,916	3,999	10,117	8,950	53,008
GENERAL & ADMINISTRATIVE	111,856	123,664	98,474	89,297	93,825	156,463	673,582
INCOME FROM OPERATIONS	7,855	(1,914)	(4,167)	(46,281)	(11,370)	(102,632)	(158,513)
OTHER INCOME							
SALE OF SCRAP	7,611	6,178	11,577	8,382	9,540	7,823	51,113
MISC. INCOME	9,294	475		8,785	725	2,064	21,344
GAIN ON SALE OF PROPERTY		2,666					2,666
RECOVERY ON BAD DEBT							0
PURCHASE DISCOUNTS	6,815	6,627	4,929	5,014	3,331	3,700	30,419
TOTAL OTHER INCOME	23,720	15,946	16,506	22,181	13,596	13,587	105,542
OTHER EXPENSES							
MISC. EXPENSE			(4)		(10)		(15)
INTEREST EXPENSE	1,634	1,621	1,615	1,609	1,604	1,598	9,684
TOTAL OTHER EXPENSES	1,634	1,621	1,611	1,609	1,594	1,598	9,669
TOTAL NET INCOME (LOSS)	29,941	12,410	10,728	(25,707)	632	(90,642)	(62,638)

COST OF GOODS MANUFACTURED

	JAN	FEB	MARCH	APRIL	MAY	JUNE	TOTAL
DIRECT MATERIALS							
PAPER	356,405	315,615	316,776	282,253	246,214	291,488	1,808,752
CARBON	133	442	242	199	1,095	2,453	4,565
CARTONS	17,983	14,635	16,616	14,329	12,365	16,006	91,936
INK	9,692	4,243	2,776	3,774	3,829	9,886	34,202
MATERIALS & SUPPLIES	17,993	20,061	15,450	20,471	13,894	18,171	106,042
LABEL MATERIAL	12,686	13,500	4,260	5,552	15,309	9,270	60,581
TAMARACK & HUNKLER	4,557	7,834	3,739	1,859	3,533	8,439	29,964
PLATES & NEGATIVES	11,367	13,664	9,831	12,188	12,394	9,112	68,559
TOTAL DIRECT MATERIALS	430,816	389,997	369,694	340,628	308,637	364,827	2,204,604
LABOR							
DIRECT LABOR WAGES	115,373	101,740	90,753	92,080	95,161	87,981	583,091
INDIRECT LABOR WAGES	60,648	48,372	52,811	52,839	55,516	47,406	317,594
SUPERVISOR'S SALARIES	8,623	7,873	7,873	2,025	8,623	7,498	42,516
TOTAL LABOR	184,644	157,986	151,438	146,945	159,301	142,885	943,203
FACTORY OVERHEAD							
DEPRECIATION EQUIPMENT	13,843	13,843	13,759	13,759	13,759	13,759	82,724
DEPRECIATION TRUCKS	365	365	365	365	365	365	2,192
CARETAKING - PRODUCTION	3,135	1,860	5,011	2,942	1,334	2,278	16,563
EQUIPMENT LEASING							0
INSURANCE-HEALTH	40,826	29,228	25,139	17,646	17,216	22,025	152,082
TAXES-PAYROLL	18,466	18,705	22,198	14,183	13,937	14,247	101,738
401K MATCH	4,073	3,879	5,834	3,802	3,796	3,853	25,240
INSURANCE-GENERAL	3,880	3,880	3,880	3,880	3,880	3,880	23,280
TAXES-GENERAL	4,752	3,572	3,572	4,574	3,572	3,822	23,864
TRAINING & EDUCATION	40			45			85
RENT	10,500	10,500	10,500	10,500	10,500	10,500	63,000
REPAIRS & MAINTENANCE	10,942	10,442	11,999	16,874	15,423	12,121	77,804
TRUCK EXPENSES	347	178	382	302	496	345	2,051
UTILITIES	23,721	21,048	15,602	5,359	20,400	22,666	108,798
FREIGHT IN PRICE EXPENSES	6,781	10,838	8,111	5,907	5,236	3,444	40,318
TOTAL FACTORY OVERHEAD	141,671	128,341	126,356	100,142	109,918	113,310	719,743
TOTAL MANUFACTURING COST INCU	757,131	676,325	647,489	587,717	577,857	621,024	3,867,551
PRODUCTION	871,235	788,548	762,224	656,502	639,951	688,374	4,406,835
GROSS MARGIN	114,104	112,223	114,734	68,785	62,093	67,350	539,284

GENERAL AND ADMINISTRATIVE

	JAN	FEB	MARCH	APRIL	MAY	JUNE	TOTAL
ADVERTISING	792	6,301	1,341	117	117	174	8,845
BAD DEBTS			83		1,410		1,493
BANK CHARGES	1,841	3,166	3,569	2,820	2,725	1,818	15,941
PAYROLL CHARGES	1,181	1,467	1,287	1,030	946	958	6,872
RENT ADMINISTRATIVE	3,065	3,065	3,387	3,065	3,065	3,065	18,713
CARETAKING SUPPLIES	991	479	134	1,735	2,874	2,712	8,927
COLLECTION		0					0
DEPRECIATION COMPUTER	479	479	479	479	479	479	2,878
DEPRECIATION FURN & FIX							0
DEPRECIATION LEASEHOLD	3,612	3,612	3,612	3,612	3,612	3,612	21,672
DEPRECIATION BUILDING	1,041	1,041	1,041	1,041	1,041	1,041	6,249
DUES & SUBSCRIPTIONS			99				99
DONATIONS	0	250	500				750
401K MATCH	2,003	1,779	2,598	1,638	1,633	1,637	11,290
INSURANCE-HEALTH	9,609	7,253	6,688	(7,633)	3,846	3,895	23,659
INSURANCE-KEYMAN	1,327	1,327	1,327	1,327	1,327	1,327	7,965
LEGAL & PROFESSIONAL	9,207	22,995	6,010	16,045	6,558	6,718	67,530
OFFICE SUPPLIES	1,918	4,846	1,480	1,502	1,448	441	11,638
POSTAGE	235	434	455		1,062		2,187
REPAIRS & MAINTENANCE	2,213	2,619	2,047	3,836	3,455	3,455	17,626
SELLING EXPENSE		1,714		20			1,734
EMPLOYEE BONUS							73,000
EMPLOYEE RELATIONS	3,266	713	1,001	866	172	210	6,231
SALARIES - ADMIN.	11,318	10,334	10,334	10,826	11,318	9,842	63,975
SALARIES -SALES SERVICE	31,385	26,315	26,206	29,068	29,241	25,311	167,528
SALARIES -OUTSIDE SALES	18,107	13,965	12,210	9,529	11,033	9,594	74,441
TAXES - PAYROLL	4,601	3,925	5,017	3,077	3,052	3,057	22,732
TELEPHONE	1,072	728	1,222	647	640	729	5,039
INTERNET	1,463	1,426	2,226	1,661	1,266	2,375	10,419
TRAINING & EDUCATION		1,070					1,070
TRAVEL	863	2,286	2,945	734	898	827	8,555
MEALS & ENTERTAINMENT	259	66	1,164	2,245	595	178	4,508
TOTAL GENERAL & ADMINISTRATIVE	111,848	123,664	98,474	89,297	93,825	156,463	673,582

Error Report Analysis YEAR TO DATE INFORMATION

<u>Plant</u>	<u>Production Errors</u>	<u>Production \$</u>	<u>%</u>	<u>All Other Errors</u>	<u>Sales \$</u>	<u>%</u>
Hillsboro	\$17,719	2,239,071	0.79%	\$12,805	2,269,011	0.56%
Angola	15,640	1,893,410	0.83%	3,137	1,995,939	0.16%
Hillsboro 2	0	274,354	0.00%	0	275,413	0.00%
Total	\$33,360	\$4,406,835	0.76%	\$15,942	\$4,540,363	0.35%

MONTHLY DATA INFORMATION

<u>Plant</u>	<u>Production Errors</u>	<u>Production \$</u>	<u>%</u>	<u>All Other Errors</u>	<u>Sales \$</u>	<u>%</u>
Hillsboro	\$5,217	394,361	1.32%	\$546	381,405	0.14%
Angola	3,195	252,513	1.27%	683	259,682	0.26%
Hillsboro 2		<u>41,499</u>	0.00%		<u>42,541</u>	0.00%
Total	\$8,412	\$688,374	1.22%	\$1,229	\$683,630	0.18%

Please note this data is skewed by the fact that the error dollars are assigned to the employees location and the sales dollars are with the shipping plant.

With current data collection methods while the total is correct the division among plants will be inaccurate.

Emp#	Name	Number Of Errors	Cost
0000000		2	263.17
0000036	J MILLER	1	388.40
0000594	S PENWELL	2	1,776.21
0000870	M MAGUIRE	1	10.00
0000916	N JONES	1	290.00
0000977	A WATSON	1	49.11
0000979	T FENNER	1	878.60
0001032	H MARTINEZ	1	175.65
0001075	S RISLEY	3	1,953.97
0001088	D COLTHAR	1	289.40
0001104	B HAWKINS	1	294.57
0001106	D DISKETTE	2	496.97
0001158	M TURNER	1	2,466.42
0001174	C PALMER	1	311.20
0007777	M HANDLER	1	97.37
Total:		20	9,641.04

Dept Code	Description	Number of Errors	Cost
000		1	221.67
200	PRESS-H	4	2,243.37
201	COLLIATOR-H	2	1,776.21
220	MATERIAL HANDLER-H	1	97.37
225	BINDERY	1	878.60
250	SALES-H	1	49.11
251	CUSTOM SALES-H	2	496.97
300	PRESS-A	2	501.20
301	COLLIATOR-A	1	41.50
305	SCHEDULIG/GEN.FACTORY- A	1	10.00
320	MATERIAL HANDLER-A	2	2,642.07
321	SHIPPING-A	1	294.57
450	SALES-Y	1	388.40
	Total:	20	9,641.04

Number

Emp#	Name	Number of Errors	Cost
0000000		9	5,509.11
0000024	B THACKSTON	1	68.73
0000035	R JONES	4	5,052.28
0000036	J MILLER	4	655.23
0000041	J OYER	2	99.84
0000071	R STERLING	1	601.09
0000082	T MCCONAHAY	7	794.37
0000085	K DICK	1	107.54
0000193	L ROBERTS	3	5,121.92
0000573	M OSTRANDER	2	3,456.49
0000594	S PENWELL	4	2,229.13
0000857	B NOLL	1	540.00
0000870	M MAGUIRE	1	10.00
0000897	T DRECK	1	784.20
0000907	J GERARD	2	860.33
0000916	N JONES	2	1,053.30
0000930	M WILLS	2	106.28
0000942	P ELAM	5	1,386.89
0000954	C MARTIN	3	386.18
0000977	A WATSON	6	344.48
0000979	T FENNER	2	1,394.65
0001032	H MARTINEZ	2	1,728.10
0001075	S RISLEY	5	2,922.24
0001088	D COLTHAR	1	289.40
0001104	B HAWKINS	7	1,103.87
0001106	D DISKETTE	6	556.47
0001115	K COLLINS	1	3,396.89
0001158	M TURNER	2	2,639.16
0001174	C PALMER	1	211.20
0001198	C NICHOLS	1	179.04
0001204	D HOLLOWAY	1	113.94
0001208	J ICARD	1	166.86
0007777	M HANDLER	7	1,027.71
0008888	V VENDOR CREDITS	16	4,404.15
	Total:	114	49,301.07

Dept Code	Description	Number of Errors	Cost
000		8	5,467.61
100	OFFICER	16	4,404.15
200	PRESS-H	11	7,476.32
201	COLLATOR-H	7	7,351.05
205	SCHEDULING/GEN FACTORY-H	1	68.73
220	MATERIAL HANDLER-H	7	1,027.71
221	SHIPPING-H	5	1,386.89
225	BINDERY	3	1,573.69
250	SALES-H	6	344.48
251	CUSTOM SALES-H	9	770.29
300	PRESS-A	12	2,712.81
301	COLLATOR-A	1	41.50
305	SCHEDULIG/GEN FACTORY- A	1	10.00
310	PLANT SUPERVISION-A	4	5,052.28
320	MATERIAL HANDLER-A	6	7,823.75
321	SHIPPING-A	7	1,103.87
331	MAINTENANCE-A	2	860.33
350	SALES-A	1	784.20
450	SALES-Y	4	655.23
650	SALES-IOWA	3	386.18
	Total:	114	49,301.07

HILLSBORO

Highland Computer Forms, Inc.

PERIOD 124/06

ENDING 124/06/30 PAGE 1

	CURRENT PERIOD		YEAR TO DATE	
COST OF GOODS				
MANUFACTURED				
DIRECT MATERIALS				
PAPER	179,823	45.6	925,315	41.3
CARBON	2,453	.6	3,883	.2
CARTONS	10,371	2.6	48,977	2.2
INK	8,737	2.2	25,338	1.1
MATERIALS + SUPPLIES	10,183	2.6	63,860	2.9
LABEL MATERIAL				
INTEGRATED MATERIAL	8,439	2.1	29,964	1.3
PLATES + COMP CHARGES	7,425	1.9	53,086	2.4
TOTAL DIRECT MATERIALS	227,432	57.7	1,150,425	51.4
LABOR				
DIRECT LABOR WAGES	54,643	13.9	358,652	16.0
INDIRECT LABOR WAGES	17,210	4.4	115,646	5.2
SUPERVISOR'S SALARIES				
TOTAL LABOR	71,853	18.2	474,298	21.2
FACTORY OVERHEAD				
DEPRECIATION EQUIPMENT	7,960	2.0	47,760	2.1
DEPRECIATION TRUCKS	365	.1	2,192	.1
CARETAKING-PRODUCTION	1,083	.3	10,872	.5
EQUIPMENT LEASING				
INSURANCE - PROD HEALTH	11,047	2.8	74,118	3.3
TAXES - PROD PAYROLL	5,187	1.3	38,117	1.7
401K MATCH - PROD	1,197	.3	7,851	.4
INSURANCE - GENERAL	2,155	.6	12,930	.6
TAXES - GENERAL	855	.2	5,130	.2
TRAINING & EDUCATION			45	
RENT				
REPAIRS + MAINTENANCE	4,060	1.0	26,372	1.2
TRUCK EXPENSES	345	.1	2,049	.1
UTILITIES	10,916	2.8	46,232	2.1
FREIGHT IN PRICE EXPENSES	2,674	.7	33,221	1.5
TOTAL FACTORY OVERHEAD	47,848	12.1	306,894	13.7
TOTAL MANUFACTURING COST	347,134	88.0	1,931,619	86.3
PRODUCTION	394,361	100.0	2,239,071	100.0
GROSS MARGIN	47,226	12.0	307,452	13.7

ANGOLA

Highland Computer Forms, Inc.

PERIOD 124/06

ENDING 124/06/30 PAGE 1

	CURRENT PERIOD		YEAR TO DATE	
COST OF GOODS				
MANUFACTURED				
DIRECT MATERIALS				
PAPER	112,047	44.4	883,819	46.7
CARBON			682	
CARTONS	5,634	2.2	42,958	2.3
INK	1,149	.5	8,115	.4
MATERIALS + SUPPLIES	3,946	1.6	37,764	2.0
LABEL MATERIAL	9,270	3.7	60,581	3.2
INTEGRATED MATERIAL				
PLATES + COMP CHARGES	1,687	.7	15,473	.8
TOTAL DIRECT MATERIALS	133,736	53.0	1,049,396	55.4
LABOR				
DIRECT LABOR WAGES	24,011	9.5	155,535	8.2
INDIRECT LABOR WAGES	23,869	9.5	161,484	8.5
SUPERVISOR'S SALARIES				
TOTAL LABOR	47,880	19.0	317,020	16.7
FACTORY OVERHEAD				
DEPRECIATION EQUIPMENT	5,511	2.2	33,233	1.8
DEPRECIATION TRUCKS				
CARETAKING-PRODUCTION	961	.4	3,999	.2
EQUIPMENT LEASING				
INSURANCE - PROD HEALTH	5,739	2.3	43,098	2.3
TAXES - PROD PAYROLL	5,888	2.3	40,967	2.2
401K MATCH - PROD	1,282	.5	8,155	.4
INSURANCE - GENERAL	1,530	.6	9,180	.5
TAXES - GENERAL	2,150	.9	12,900	.7
TRAINING & EDUCATION				
RENT	8,000	3.2	48,000	2.5
REPAIRS + MAINTENANCE	5,973	2.4	30,453	1.6
TRUCK EXPENSES				
UTILITIES	9,561	3.8	49,917	2.6
FREIGHT IN PRICE EXPENSES	769	.3	7,097	.4
TOTAL FACTORY OVERHEAD	47,367	18.8	287,002	15.2
TOTAL MANUFACTURING COST	228,983	90.7	1,653,419	87.3
PRODUCTION	252,513	100.0	1,893,410	100.0
GROSS MARGIN	23,530	9.3	239,991	12.7

	CURRENT PERIOD		YEAR TO DATE	
COST OF GOODS				
MANUFACTURED				
DIRECT MATERIALS				
PAPER	382-	.9	382-	.1
CARBON				
CARTONS				
INK			748	.3
MATERIALS + SUPPLIES	4,041	9.7	4,416	1.6
LABEL MATERIAL				
INTEGRATED MATERIAL				
PLATES + COMP CHARGES				
TOTAL DIRECT MATERIALS	3,659	8.8	4,782	1.7
LABOR				
DIRECT LABOR WAGES	9,326	22.5	68,903	25.1
INDIRECT LABOR WAGES	6,326	15.3	40,463	14.8
SUPERVISOR'S SALARIES			6,222-	2.3
TOTAL LABOR	15,653	37.7	103,144	37.6
FACTORY OVERHEAD				
DEPRECIATION EQUIPMENT	288	.7	1,730	.6
DEPRECIATION TRUCKS				
CARETAKING-PRODUCTION	233	.6	1,691	.6
EQUIPMENT LEASING				
INSURANCE - PROD HEALTH	3,628	8.7	24,443	8.9
TAXES - PROD PAYROLL	1,564	3.8	11,913	4.3
401K MATCH - PROD	819	2.0	5,626	2.1
INSURANCE - GENERAL	195	.5	1,170	.4
TAXES - GENERAL	567	1.4	3,402	1.2
TRAINING & EDUCATION				
RENT	2,500	6.0	15,000	5.5
REPAIRS + MAINTENANCE	2,087	5.0	16,113	5.9
TRUCK EXPENSES				
UTILITIES	2,187	5.3	12,648	4.6
FREIGHT IN PRICE EXPENSES				
TOTAL FACTORY OVERHEAD	14,072	33.9	93,739	34.2
TOTAL MANUFACTURING COST	33,384	80.5	201,666	73.5
PRODUCTION	41,499	100.0	274,354	100.0
GROSS MARGIN	8,114	19.6	72,687	26.5

PAPER USAGE

	2024 POUNDS	2024 CARBONLESS	2024 BOND	2024 TONS	2023 POUNDS	2022 POUNDS	2021 POUNDS	2020 POUNDS	2019 POUNDS	2018 POUNDS
<u>COMPANY TOTALS</u>										
JAN	475,334	63,361	411,973	238	541,642	752,147	478,826	880,989	1,016,330	1,125,503
FEB	403,569	64,983	338,586	202	522,446	640,409	489,239	574,388	706,461	1,026,591
MARCH	425,537	75,199	350,338	213	650,706	680,048	640,227	772,666	690,808	1,109,521
APRIL	358,225	67,855	290,370	179	454,895	611,735	598,654	562,755	792,659	884,871
MAY	320,729	81,418	239,311	160	515,217	680,720	530,940	448,711	681,807	998,060
JUNE	383,810	57,023	326,787	192	567,599	700,969	614,214	416,436	793,730	758,457
JULY	0	0	0	0	494,824	625,997	677,060	513,082	811,902	971,393
AUG	0	0	0	0	581,337	603,322	513,167	640,790	862,655	1,213,632
SEPT	0	0	0	0	371,797	539,601	514,258	599,988	708,799	849,146
OCT	0	0	0	0	547,003	511,936	708,710	526,873	869,870	944,106
NOV	0	0	0	0	516,155	567,220	606,137	456,190	724,762	801,199
DEC	0	0	0	0	371,797	638,278	636,259	728,141	655,052	925,010
TOTAL YEAR TO DATE	2,367,204	409,839	1,957,365	1,184	6,135,418	7,552,382	7,006,691	7,121,009	9,314,835	11,607,489
<u>HILLSBORO</u>										
JAN	203,245	46,831	156,414	102	285,346	421,247	257,544	491,109	441,638	425,125
FEB	205,147	48,647	156,500	103	277,133	359,054	212,354	313,554	286,402	379,882
MARCH	188,588	40,769	147,819	94	312,593	350,686	357,215	414,291	370,192	424,426
APRIL	202,877	50,087	152,790	101	267,057	369,149	321,728	344,465	385,449	365,770
MAY	165,514	53,860	111,654	83	231,008	344,588	284,835	236,774	352,868	443,750
JUNE	247,549	28,294	219,255	124	306,063	395,166	354,258	225,523	404,826	332,433
JULY	0			0	237,419	294,274	353,511	232,849	407,754	410,900
AUG	0			0	332,930	385,703	351,618	300,411	465,296	493,434
SEPT	0			0	221,865	250,710	367,933	346,713	390,823	442,108
OCT	0			0	335,523	267,722	416,685	336,114	517,863	409,311
NOV	0			0	306,593	327,288	359,122	222,522	396,637	418,348
DEC	0			0	200,003	371,299	330,426	411,267	356,018	398,167
TOTAL YEAR TO DATE	1,212,920	268,488	944,432	606	3,313,533	4,136,886	3,967,229	3,875,592	4,775,766	4,943,654
<u>ANGOLA</u>										
JAN	272,089	16,530	255,559	136	256,296	330,900	221,282	389,880	331,358	479,019
FEB	198,422	16,336	182,086	99	245,313	281,355	276,885	260,834	372,870	346,989
MARCH	236,949	34,430	202,519	118	338,113	329,362	283,012	358,375	320,616	309,325
APRIL	155,348	17,768	137,580	78	187,838	242,586	276,926	218,290	407,210	326,334
MAY	155,215	27,558	127,657	78	284,209	336,132	246,105	211,937	328,939	249,132
JUNE	136,261	28,729	107,532	68	261,536	305,803	259,956	190,913	388,904	230,292
JULY	0			0	257,405	331,723	323,549	280,233	404,148	274,118
AUG	0			0	248,407	217,619	161,549	340,379	397,359	488,758
SEPT	0			0	149,932	288,891	146,325	253,275	317,976	244,402
OCT	0			0	211,480	244,214	292,025	190,759	352,007	287,432
NOV	0			0	209,562	239,932	247,015	233,668	328,125	242,347
DEC	0			0	171,794	266,979	304,833	316,874	299,034	275,722
TOTAL YEAR TO DATE	1,154,284	141,351	1,012,933	577	2,821,885	3,415,496	3,039,462	3,245,417	4,248,546	3,753,870
<u>IOWA</u>										
JAN	0			0	0	0	0	0	243,334	221,359
FEB	0			0	0	0	0	0	47,189	299,720
MARCH	0			0	0	0	0	0	0	375,770
APRIL	0			0	0	0	0	0	0	192,767
MAY	0			0	0	0	0	0	0	305,178
JUNE	0			0	0	0	0	0	0	195,732
JULY	0			0	0	0	0	0	0	286,375
AUG	0			0	0	0	0	0	0	231,440
SEPT	0			0	0	0	0	0	0	162,636
OCT	0			0	0	0	0	0	0	247,363
NOV	0			0	0	0	0	0	0	140,504
DEC	0			0	0	0	0	0	0	251,121
TOTAL YEAR TO DATE	0	0	0	0	0	0	0	0	290,523	2,909,965

INFORMATION IS FROM THE MONTH END RAW MATERIALS USAGE REPORT
REPORT OPTION 5 (INVENTORY REPORTS) AND OPTION 9 (RAW MATERIALS USAGE)

RATIO ANALYSIS
YTD
JUNE 30, 2024

QUICK RATIO		RATIO
CASH & TRADE RECEIVABLES	1,380,882	1.78
CURRENT LIABILITIES	775,118	
CURRENT RATIO		
CURRENT ASSETS	2,313,993	2.99
CURRENT LIABILITIES	775,118	
INVENTORY TURNOVER		
COST OF SALES	4,002,641	4.40
ENDING INVENTORY	909,413	
AVERAGE DAYS TO SELL		
AVERAGE INVENTORY x 182	980,420	44.58
COST OF SALES	4,002,641	
CURRENT LIABILITES TO EQUITY		
CURRENT LIABILITES	775,118	0.27
NET WORTH	2,899,163	
LONG TERM DEBT TO EQUITY		
LONG TERM DEBT	405,376	0.14
NET WORTH	2,899,163	
TOTAL LIABILITES TO EQUITY		
TOTAL LIABILITES	1,180,494	0.41
NET WORTH	2,899,163	
AVERAGE DAYS TO COLLECT		
AVERAGE TRADE RECEIVABLES X 182	782,809	31.38
NET SALES	4,540,363	
RECEIVABLES TURNOVER		
NET SALES	4,540,363	5.80
AVERAGE AR BALANCE	782,809	